

The background features abstract, overlapping geometric shapes in various shades of green, primarily on the left and right sides, creating a modern, layered effect. The central area is white, providing a clean space for the text.

WELCOME

Part Two

Collective Employment Relationships

What is it?

- Is a relation of an employer or employers 'associations with trade unions or collectively of trade unions
- It Includes Formation of industrial organization
- And collective agreement and bargaining

• Applicable Provisions

- Article 31 and 42(1)(a) of the constitution
- Art 134- 135 of the Labour proclamation
- ILO Conventions on Freedom of Association and Protection of the Right to Organise, 1948 (No. 87),
- ILO Conventions and the Right to Organise and Collective Bargaining, 1949 (No. 98).

Chapter Six:- Industrial organizations and Collective agreement

●6.1 Industrial organization

- It includes the trade unions and Employers' association
- Trade union is the association of employees while employers association is comprised of employers.

Historical Background of I. O

- Formation of associations of employees was considered as conspiracy and hence criminal offence.
- Trade unionism were attacked by every quarter of the society.
i.e. they were considered as illegal
- Industrial revolution give birth to trade unionism.
- Through passage of time and ever since the establishment of ILO as a world body, however, the right to form association has been one of the fundamental rights for both the employees and employers.

- The ILO convention, protect associations from external interference and prohibit anti-union discrimination.
- Moreover the Revised Ethiopian Constitution of 1955 under Article provided that —every Ethiopian subject has the right to engage in any occupation and to that end form an association”.
- Proclamation No.210/1963 that detailed implementation procedures were provided.
- Proc. No.64/1975) was adopted by dergue. It, however, failed to provide legal framework for employers to form associations.
- It was with the coming into effect of Proc. No.42/1993 that employers ‘associations regained clear legal framework of establishment.
- See also the FDRE constitution

- As regards to formation of association for civil servants however, the issue is not yet settled.
- The FDRE constitution (*Art.42 (1).// and (Art.42 (1) (c))*).
- As regards to the labour regime, however, under the existing laws, both employees and employers are entitled to form associations of their own choice without interference from any corner.
- Denying employers from forming associations was in contravention of Convention No.87 to which Ethiopia has been a party since 1963.

- Not only the right to form association but also that the right to form more
- **Than one association in an enterprise (i.e. the concept of plurality (diversity) of unions) has been incorporated into Ethiopian labour law.**

Purposes of Industrial organizations

- To protect collective interest of workers
- Collective bargaining:- to create a fertile ground where workers and employers could collectively negotiate with each other concerning wages, hours of work and condition of work.
- For the employer: to avoid disorganized way of movement (ex. strike)
- To secure peace and stability in industrial life.

The right to form organization(association)

- Both the worker and employer should be given the right to form their organization to promote social and economic interest.
- Forming an international organization is vital both for the employer and employee for effective realization of their legally recognised rights and interests
- Art. 113(1) LP

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- The right to form association includes:
 - The right of workers and employers to form their own organization without any interference or influence
 - To prepare their own constitution
 - To choose the leader of their own organization freely and fairly
 - To formulate and design programme and objectives of their organization.

- The right includes
 - Freedom to join a certain TU
 - Not to join a certain TU
 - To withdraw from TU

Plurality of unions

- The current labour law recognized the plurality of trade unions in a single enterprise.
- If so will the employer be compelled to bargain with every union or is there a way out? See Art 115(1(a))
- The law enshrined the concept of the —most representative union which will possess the power of being an exclusive bargaining agent.

- Preconditions to enjoy the right:-
 1. Minimum No of workers;- Art. 114(1)
 - At least 10 workers.
 - Workers whose NO is less than 10 do have the right to form association. i.e. General Trade Union of two or more undertaking
 - But the sum must not be less than 10

2. Having a constitution:

- Is a document which the objective of the union and the rights and duties of the member, their relationship with the union.
- Art 117
- Must be submitted to MOLSA

3. Registration

- By MOLSA
- Art 118
- **Registration as envisaged by the law could take two forms; actual and default registration.**
- Actual registration occurs where the registering organ is provided with the necessary documents and found the documents adequate and legal after which it entered the registration (Art.118 (3) first sentence).
- **Default registration, on its part, occurs when the registering organ upon being provided with the necessary documents failed to respond positively or negatively on the application for fifteen days from the date of receipt of the documents. Hence, in such circumstances silence amounts to acceptance (Art.118 (3) second sentence.).**

- **Effects of non-registration Art 118(4)**
- **Effects of registration Art 118(5)**
- **Grounds of Refusal Art 119**
- **Cancellation of registration Art 120 and 121 with Art 123**
- **Appeal Art 122**

Formation of employers association

- **The requirement of constitution and registration applies here too.**
- **But the law is silent abt minimum no of members**
- **In absence of the law....**

- **Federation 113(2)**

- federation of TU is established by one or more TU jointly
- Federation of employers association; established by one or more EA

- **Confederation: Art 113(2)**

- Of TU- established by one or more federation of TU.
- Of EA: established by one or more federation of EA

Functions of the trade union and Employers association

1. Art 15 and 16 of LP

2. Federation and confederation Art. 116

What about political involvement?

See Art (3)(1) of ILO convention No 87

Collective bargaining and collective agreement

Collective Bargaining

- Is the process of collective negotiation
- Is the process through which the workers negotiate with their employer
- Art 154(2) of ILO convention:
- Art 124(2) LP
- It presupposes the existence of TU

- Recognized worldwide as a crucial for bringing industrial democracy
- Philadelphia declaration:- ILO has the solemn obligation to further among the nation of the world.
- The 1998 ILO convention obliges member states of ILO to promote and realize the principles concerning the right to bargaining.
- See convention No 98 and 154

Parties to the collective bargaining

- As a principle The right to CB applies to all workers organization and Employers organization
- As an exception; certain sectors of workers or organization are excluded under domestic law
- ILO conventions provided about the exclusions of armed and police force.
- See also Art 125 and 126 of LP
- CB must be made with the full and free consent of the parties

Procedural requirements

- Must be made with full and free consent of the parties
- Request: Art 130(1) must be made in writing
- Duty to bargain in good faith

Purposes

- The purpose of collective bargaining is the regulation of terms and conditions of employment, in a broad sense, and the relations between the parties.
- **Collective agreements should be binding.**

Principles of collective bargaining

- **Principles of good faith**
 - Implies recognizing representative organizations, endeavouring to reach an agreement, engaging in genuine and constructive negotiations, avoiding unjustified delays in negotiation and mutually respecting the commitments entered into, taking into account the results of negotiations in good faith.
- **The principle of independence**
 - The organization must not be under the influence of employer or employers organization
- **The Principle of autonomy of the parties**
- **The principle of Free and voluntary nature of the Negotiation**

Collective agreements

- Is the result of collective bargaining
- Art 114
- **The subject matter of collective agreement:-**
 - Specified under Art. 128 and Art 129
- **Collective agreement have two major function**
 - It deals with issues important to the TU as an entity and the employer employer's organization
 - Ex. Negotiation right, do not bind the individual parties.
 - Issues relevant to the individual employee: example occupational safety and health, arrangement of working hours.

Enforceability of terms of collective agreement

- Art 139
- Art 135(1)
- Collective agreement is a legally binding agreement at both collective and individual level.
- It is also likely to affect the individual employees
- The employer may claim the terms of collective agreement against an employee

- The employee too, may claim the terms of CA against employer as per Art 134 and 135 of LP so long as it is favourable to the employee
- Is CA valid against binding against a non-member of TU
- The agreement shall not be made applicable to some workers who are member of TU by excluding non-members.
- Any activity that discriminate between workers and members of TU is contrary to the constitution and some other instruments.
- So non-members must be beneficial.

- If so, what should cover the cost of bargaining? Normally it is covered by the TU from the income collected from employee?
- Making the CA applicable to all workers would perhaps amount to giving undue advantage to non-member workers at the expense of members to TU who pays membership fee.
- Solution; 1. Making all workers to share the costs incurred the bargaining process
 - 2 doesnot it amount to force workers to join TU?

Conditions for the validity of collective agreement

- As a contract it should fulfil all the requirements of a valid contract.

- FORM

- Must be made in writing
- Should indicate parties to the collective agreement
- Signature by representatives
- Date on which it entered into force unless Art 133(2)

○Registration

■MOLSA

■Why? To allow the minister to follow developments in collective bargaining

■To determine whether there is any legal defect in the agreement and inform parties

- Duration of the contract Art 133(3); 3 years

- Content: A CA is expected to satisfy the minimum standard set by the law Art 133(1)

Definition

- ▶ Collective bargaining is a type of negotiation used by employees to work with their employers.
- ▶ During a collective bargaining period, workers' representatives approach the employer and attempt to negotiate a contract which both sides can agree with.
- ▶ Typical issues covered in a labor contract are hours, wages, benefits, working conditions, and the rules of the workplace.
- ▶ Once both sides have reached a contract that they find agreeable, it is signed and kept in place for a set period of time, most commonly three years.
- ▶ The final contract is called a collective bargaining agreement, to reflect the fact that it is the result of a collective bargaining effort.
- ▶ The parties often refer to the result of negotiation as a *Collective Bargaining Agreement (CBA)* / as a *Collective Employment Agreement (CEA)*.



Features:

It is a collective process.

The representatives of both workers and management participate in bargaining.

II. It is a continuous process. It establishes regular and stable relationship between the parties involved. It involves not only the negotiation of the contract, but also the administration of the contract.

III. It is a flexible and dynamic process. The parties have to adopt a flexible attitude through the process of bargaining.

IV. It is a method of partnership of workers in management



Importance to society

Collective bargaining leads to industrial peace in the country.

It results in establishment of a harmonious industrial climate which supports, which helps the pace of a nation's efforts towards economic and social development since the obstacles to such a development can be reduced considerably.

The discrimination and exploitation of workers is constantly being checked. It provides a method or the regulation of the conditions of employment of those who are directly concerned about them.



Importance to employers

It becomes easier for the management to resolve issues at the bargaining level rather than taking up complaints of individual workers.

Collective bargaining tends to promote a sense of job security among employees and thereby tends to reduce the cost of labor turnover to management.

Collective bargaining opens up the channel of communication between the workers and the management and increases worker participation in decision making.

Collective bargaining plays a vital role in settling and preventing industrial disputes.



Importance to employees

Collective bargaining develops a sense of self respect and responsibility among the employees.

It increases the strength of the workforce, thereby, increasing their bargaining capacity as a group.

Collective bargaining increases the morale and productivity of employees.

It restricts management's freedom for arbitrary action against the employees..

The workers feel motivated as they can approach the management on various matters and bargain for higher benefits.

It helps in securing a prompt and fair settlement of grievances.

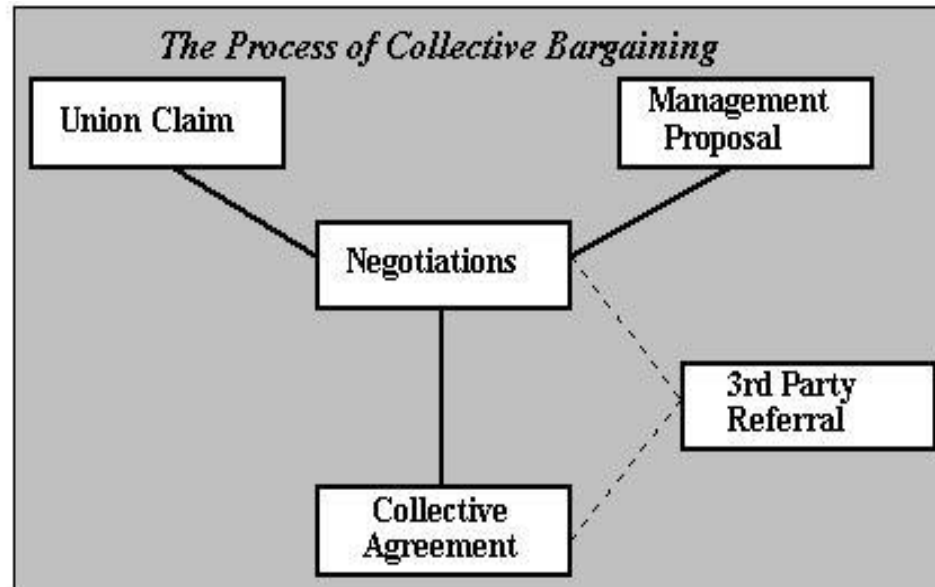
It provides a flexible means for the adjustment of wages and employment conditions to economic and technological changes in the industry, as a result of which the chances for conflicts are reduced..

Impass
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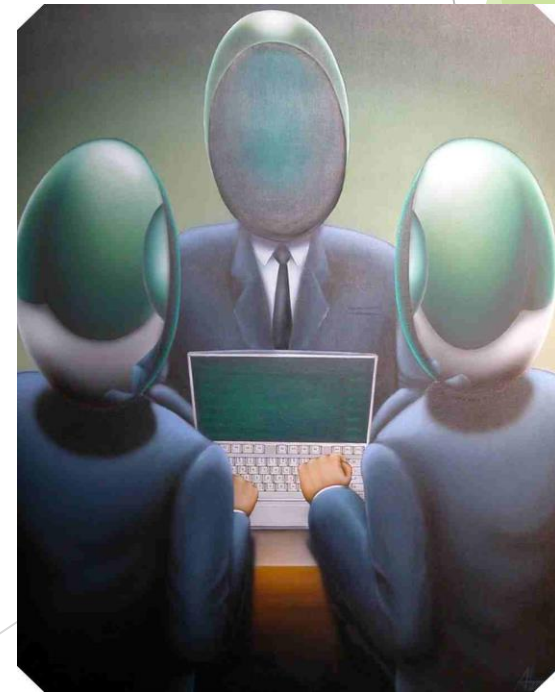
Collective Bargaining Process

- In many companies, agreements have a fixed time scale and a collective bargaining process will review the procedural agreement when negotiations take place on pay and conditions of employment.



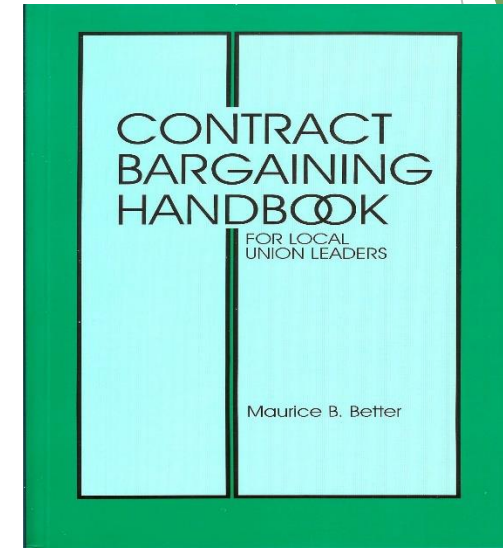
(1) Prepare

- ▶ This phase involves composition of a negotiation team.
- ▶ The negotiation team should consist of representatives of both the parties with adequate knowledge and skills for negotiation.
- ▶ In this phase both the employer's representatives and the union examine their own situation in order to develop the issues that they believe will be most important.
- ▶ A correct understanding of the main issues to be covered and intimate knowledge of operations, working conditions production norms and other relevant conditions is required.



(2) Discuss

- ▶ The parties decide the ground rules that will guide the negotiations.
- ▶ An environment of mutual trust and understanding is also created so that the collective bargaining agreement would be reached.



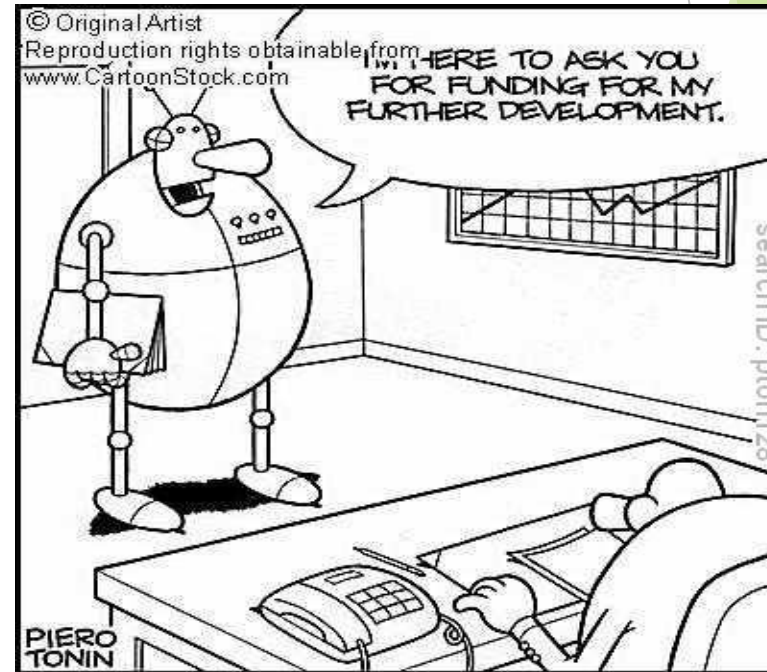
(3) Propose

- It involves the initial opening statements and the possible options that exist to resolve them. In a word, this phase could be described as 'brainstorming'. The exchange of messages takes place and opinion of both the parties is sought.



(4) Bargain

- ▶ Negotiations are easy if a problem solving attitude is adopted.
- ▶ This stage comprises the time when 'what ifs' and 'supposals' are set forth and the drafting of agreements take place.



(5) Settlement

- ▶ Once the parties are through with the bargaining process, a consensual agreement is reached upon wherein both the parties agree to a common decision regarding the problem or the issue.
- ▶ This stage is described as consisting of effective joint implementation of the agreement through shared visions, strategic planning and negotiated change.



Levels of collective bargaining

